

China Auto/EV

EQUITY: AUTOS & AUTO PARTS

Unexciting May-26, as expected

Full-year domestic market demand risk on the downside

Another 20% y-y decline in the domestic China market within May-26; further downside risk to our domestic market demand estimates

The China auto industry delivered 2.3mn wholesale shipments (-4.2% y-y and +5.8% m-m) in May-26; PV retail sales, excluding minivans, were at 1.5mn units (-22.0% y-y and +9.2% m-m), according to CAAM and CPCA. Both the data points show a sequential improvement, as expected, while the y-y decline trend remains unchanged, especially for retail, for the third month within 5M26, with more than 20% y-y decline. PV retail sales were at 7.1mn units in 5M26 (-19.3% y-y), the lowest level for the domestic market demand since 2020 (impacted by COVID).

In the EV segment, China PV EV monthly retail sales were at 950k units in May-26 (-7.5% y-y, +12.0% m-m), while EV sales in the domestic market continued to outperform ICE cars as EV penetration reached 62.1%, up 9.9pp y-y and 1.5pp m-m, reaching a new record-high monthly level. On the contrary, ICE car retail sales were at 561k (-38.4% y-y, +5.1% m-m).

Despite a high number of new product launches and technology upgrades from OEMs in the past two months, we are yet to see any meaningful demand improvement trend in the entire domestic market. Based on our industry order checks, we do not see any meaningful organic demand improvement in the past few weeks, other than those owing to new model releases. If this trend continues and there is no more incremental incentives, we see further downside risk to both our 2026F wholesale/retail forecasts for the China auto market. For the domestic China auto sales, there is a likelihood that 2026F will show a double-digit y-y decline for the first time in history, while exports will offset some negative impact to the entire China auto industry. We remain cautious on the entire auto sector. Exports could be the key highlight of the China auto market in 2026F, in our view.

Strong growth in exports and encouraging progress in select markets; more efforts needed to enjoy sustainable long-term growth

China's auto industry exported 809k units of PVs (+73.0% y-y, +1.6% m-m) in May-26, according to CAAM, and YTD exports reached 3.5mn, +70% y-y. Most of the leading players in both PV/EV segments recorded strong exports in YTD-26. Further, China OEMs are making meaningful progress in select regions and countries (e.g., the EU market, Brazil and Australia; *Fig. 18-Fig. 20*).

Considering the strong overseas growth from end-25, we believe two things need to be taken into account while looking at the long-term outlook of China auto players. First is the addressable markets. With the fast development in some of the target countries, we believe sector players will always have to put additional efforts in opening new markets, which could result in further uncertainties. And secondly, growing fast in some key auto markets may trigger uncertainties such as trade tensions. According to a Bloomberg news report ([URL](#)), the EU-China trade relationship is facing further pressure, which is more or less creating additional risk for the auto segment. And with the fast development globally, we see increasing auto-related tariffs in many counties such as Russia, Brazil and Mexico. Hence, faster exports growth in the short-term could also create further challenges for the industry into the mid/long run, in our view.

Hence, we continue to believe that China EV players would enjoy strong growth in overseas markets at least within 2026F. And OEMs need to be well-prepared for any potential new challenges in overseas markets, and becoming a true global player might not be that easy as what we have observed in the past few months.

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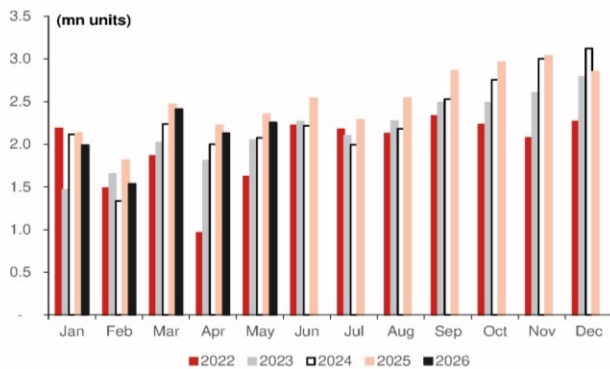
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Limited improvement in May-26; 2026 to be a structural change year for China auto market

The China Association of Automobile Manufacturers (CAAM) reported May-26 monthly wholesale shipments of 2.3mn units for the China PV market (-4.2% y-y and +5.8% m-m). PV retail sales, excluding minivans, were at 1.5mn units (-22.0% y-y and +9.2% m-m), according to the China Passenger Car Association (CPCA), with both the data points showing a sequential improvement, as expected while the y-y decline trend remains unchanged. On the other hand, China PV EV monthly retail sales were at 950k units in May-26 (-7.5% y-y, while +12.0% m-m). Amid uncertainties surrounding fuel prices and the Middle East situation, also thanks to more active development from EV players such as technology upgrade and new model launches, EV sales in the domestic market continued to outperform ICE cars as EV penetration reached 62.1% in the month, up by 9.9pp y-y and 1.5pp m-m, reaching a new record-high monthly level.

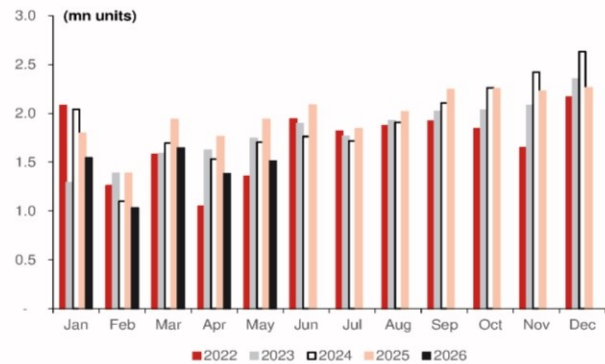
Within 5M25, China PV wholesale shipments were at 10.3mn, -6.1% y-y, retail sales excluding minivan were at 7.1mn, -19.3% y-y and the lowest level since 2020 (with the impact of COVID), and PV EV retail sales were at 3.7mn, -14.8% y-y. Despite increased new product launches and technology upgrades from OEMs in the past two months, we are yet to see any meaningful demand improvement trend from the entire domestic market. If this trend continues, added with the likely absence of incremental incentives, we see further downside risks to our 2026F forecasts for the China auto market. For domestic China auto sales, we might see a double-digit y-y decline for the first time, while exports might continue helping the entire China auto industry regarding wholesales and supply chain.

Fig. 1: China – PV monthly wholesales volumes



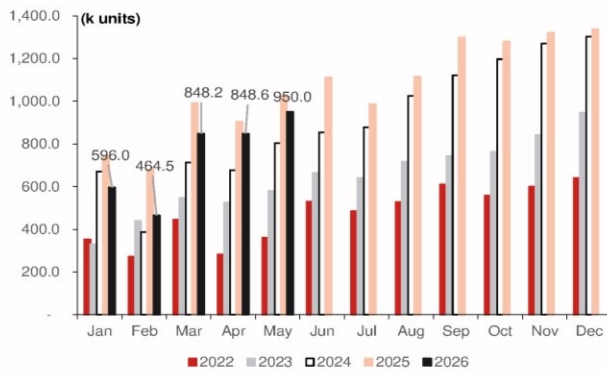
Source: CAAM, Nomura research

Fig. 2: China – PV retail sales excluding minivans



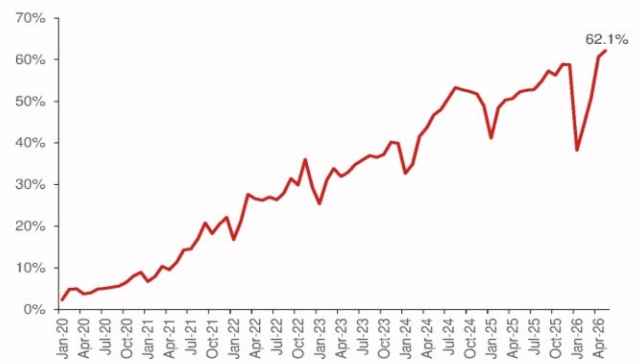
Source: CPCA, Nomura research

Fig. 3: China – PV EV monthly retail sales



Source: CPCA, Nomura research

Fig. 4: China – PV market EV penetration trends (retail)



Source: CPCA, Nomura research

In the domestic market, BYD recorded 207.4k units of retail sales during the month (-29.2% y-y, +13.9% m-m). Its EV retail market share was at 21.8% (-6.7pp y-y), after recovering by 0.3pp m-m. We recommend a wait-and-watch approach before we see any meaningful recovery, with its blade battery 2.0 production ramping up, more likely into 2H26F.

Geely delivered 109.2k units of EV retail sales in May-26 (-16.3% y-y, +14.2% m-m), showing a trend similar to BYD. With the entire EV market showing a sequential recovery during the month, Geely's EV market share remains relatively stable at 11.5% (-1.2pp y-y and +0.2pp m-m). Leapmotor's retail sales were at 61.4k units in the month (+48.3% y-y, +7.4% m-m).

HIMA (Harmony Intelligent Mobility Alliance) achieved 46.1k retail sales in May-26 (+3.8% y-y, +40.8% m-m). Xiaomi's retail sales were at 32.7k (+16.9% y-y, -10.7% m-m). Tesla delivered 47.3k units of retail sales in the month (+22.5% y-y, +82.2% m-m).

NIO's retail sales were at 37.6k units (+61.9% y-y, +28.3% m-m). XPENG reported 25.7k units of retail sales in May-26 (-14.3% y-y, +2.6% m-m). Considering the deliveries of ES9/GX have started, we expect a likely sequential shipment improvement for both the names. Meanwhile, Li Auto delivered 33.4k of retail sales during the month (-18.4% y-y, -2.2% m-m).

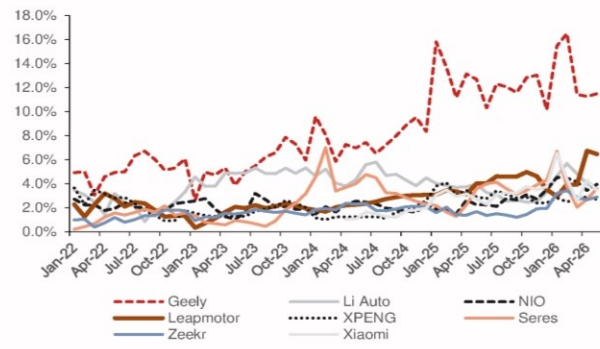
Fig. 5: Select China EV OEMs' retail sales vs wholesales in May-26

Unit k	May-26	Apr-26	May-25	y-y	m-m	Market share	May-26 wholesales	Retail vs wholesales
BYD	207.4	182.0	293.0	-29.2%	13.9%	21.8%	377.0	-45.0%
Geely	109.2	95.6	130.4	-16.3%	14.2%	11.5%	133.4	-18.1%
Tesla China	47.3	26.0	38.6	22.5%	82.2%	5.0%	86.0	-45.0%
Changan Auto	62.9	64.5	74.0	-15.0%	-2.5%	6.6%		
SAIC GM Wuling	47.2	34.5	56.1	-15.9%	36.8%	5.0%		
HIMA	46.1	32.8	44.4	3.8%	40.8%	4.9%	46.1	0.0%
Leapmotor	61.4	57.2	41.4	48.3%	7.4%	6.5%	81.6	-24.7%
Li Auto	33.4	34.1	40.9	-18.4%	-2.2%	3.5%	33.4	0.0%
XPENG	25.7	25.0	29.9	-14.3%	2.6%	2.7%	32.2	-20.2%
Xiaomi	32.8	36.7	28.0	16.9%	-10.7%	3.4%	32.8	0.0%
NIO	37.6	29.3	23.2	61.9%	28.3%	4.0%	37.7	-0.2%
GAC Aion	25.1	27.0	25.1	0.4%	-7.0%	2.6%	33.1	-24.1%
Zeekr	27.6	22.6	17.3	59.1%	22.0%	2.9%	34.4	-19.7%
Seres	34.3	23.2	36.6	-6.3%	48.2%	3.6%	30.2	13.7%

Source: CPCA, CAAM, company data, Nomura research

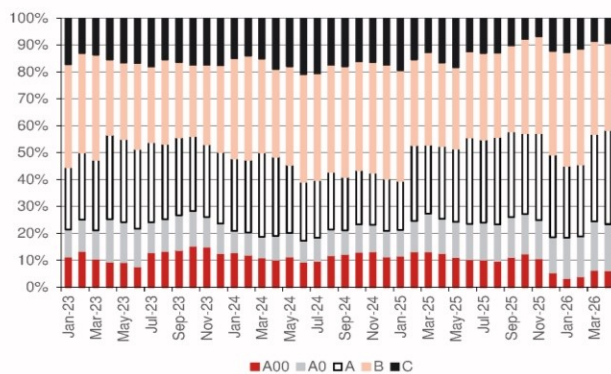
Fig. 6: BYD's EV retail sales market share trend

Source: CPCA, Nomura research

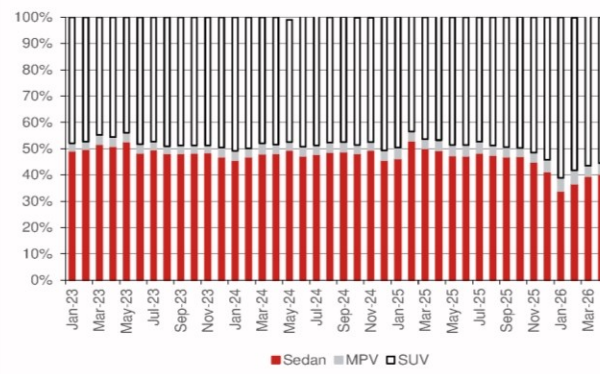
Fig. 7: Select EV OEMs' retail sales market share trend

Source: CPCA, Nomura research

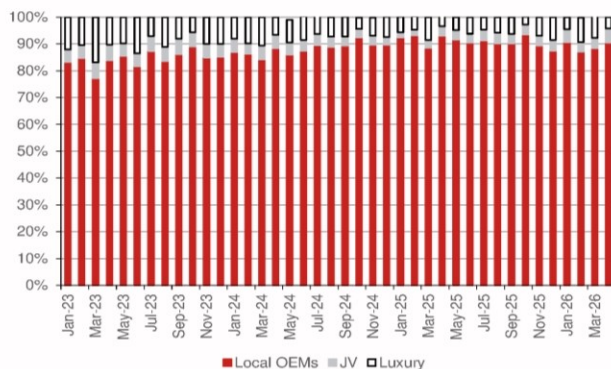
A00's EV market share in the China EV sector remained at a low level of 6% in Apr-26. With national subsidy policies becoming unfavorable for mass-market models, we expect A00 models' sales contribution to the China EV market in 2026F to remain in single digit.

Fig. 8: China EV retail sales by size

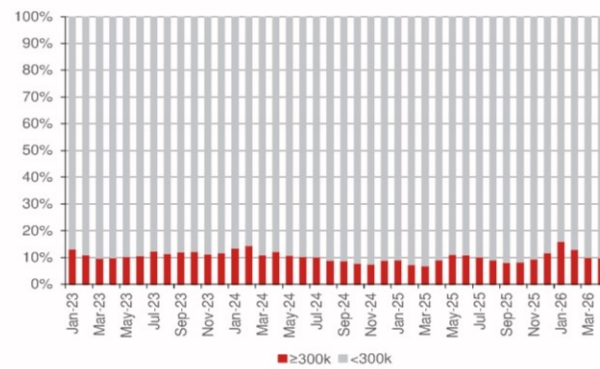
Source: CPCA, Nomura research

Fig. 9: China EV retail sales by vehicle type

Source: CPCA, Nomura research

Fig. 10: China EV retail sales by brand type

Source: CPCA, Nomura research

Fig. 11: China EV retail sales by price range

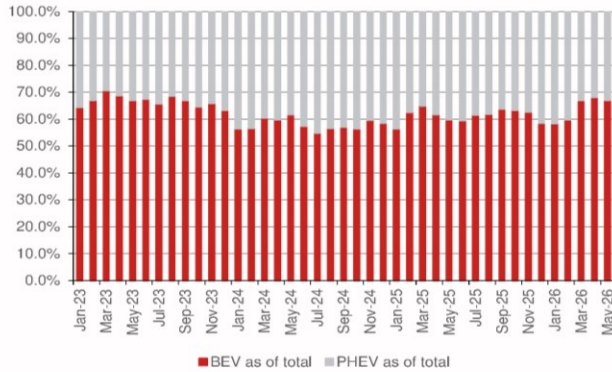
Source: CPCA, Nomura research

BEVs continued outgrowing PHEVs+EREVs in May-26, as they represented 67.1% of the total EV sales during the month, while PHEVs/EREVs together represented 32.9% of total

EV sales.

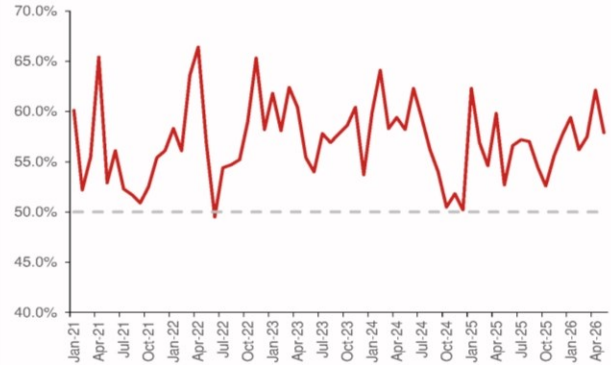
The Inventory Alert Index came in at 57.9% in May-26, remaining above the threshold, with both high-end luxury and imports as well as JV brands close to 60%. Meanwhile, the Inventory Alert Index for local OEMs declined to 54.8% from 55.3% in Apr-26, showing that local brands, especially EV players, enjoy a better position in the market, in our view.

Fig. 12: China EV retail sales by type



Note: PHEV includes EREV
Source: CPCA, Nomura research

Fig. 13: China vehicle Inventory Alert Index

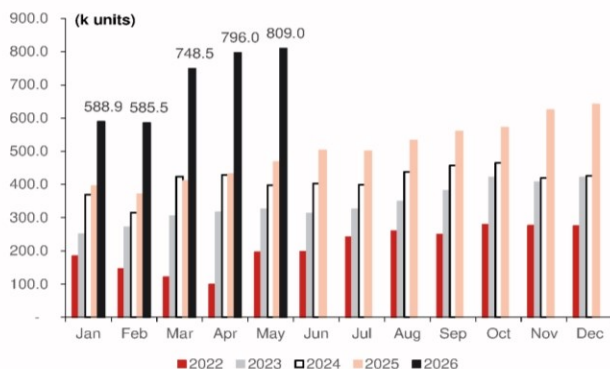


Note: Readings above 50 give cause for concern over inventory levels, with higher numbers indicating greater inventory build-up pressure.
Source: CADA, Nomura research

Fast growth in overseas markets continues with solid progress in select markets

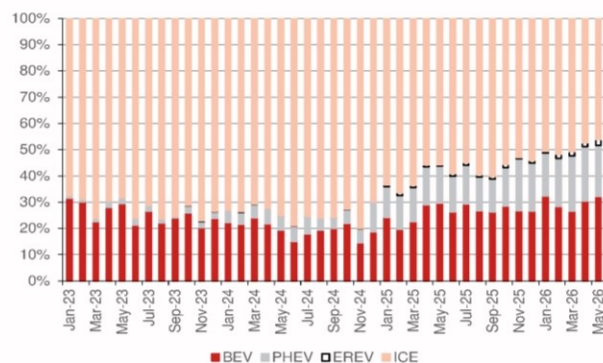
Similar to the trend in previous 4 months entering into 2026, the China auto industry showed another month with strong development in overseas markets in May 2026. According to CAAM, China's auto industry exported 809k units of PVs (+73.0% y-y, +1.6% m-m) in May. According to CPCA data, EV exports were at 425k during the month (+113% y-y), while ICE car exports were at 364k (+44% y-y).

Fig. 14: China – monthly PV exports



Source: CAAM, MarkLines, Nomura research

Fig. 15: China - monthly PV exports by vehicle type



Source: CPCA, Nomura research

For both PV and EV exports markets, we see a majority of the leading auto players are showing strong exports in YTD-26 (Fig. 16 & Fig. 17). While Chery remains the top player in the PV export market, BYD enjoyed clear advantage in EV in overseas markets, considering its early movement, including 8 RORO (roll-on/roll-off) ships and its gradually-improving global capacity. While the majority of EV players have only recently started their overseas business, we expect the current solid momentum to continue, at least in the near term, especially for China EV players, taking rising fuel prices as a tailwind.

Fig. 16: 5M26 PV exports of top 10 players

Unit k	5M26	5M25	y-y	Market shar
BYD	598.4	357.1	67.6%	17.7%
Chery	743.8	439.3	69.3%	22.1%
Geely	370.4	142.9	159.2%	11.0%
SAIC Motor Passer	326.2	199.8	63.3%	9.7%
Great Wall Motor	202.7	132.7	52.7%	6.0%
Tesla China	192.8	91.0	112.0%	5.7%
Changan Auto	117.3	129.9	-9.7%	3.5%
SAIC GM Wuling	119.2	87.7	35.9%	3.5%
Leapmotor	75.3	17.3	335.5%	2.2%
Dongfeng Motor	87.4	44.1	98.4%	2.6%

Source: CPCA, Nomura research

Fig. 17: 5M26 EV exports of top 10 players

Unit k	5M26	5M25	y-y	Market shar
BYD	598.4	357.1	67.6%	34.6%
Chery	216.5	83.2	160.2%	12.5%
Geely	213.9	31.7	574.7%	12.3%
Tesla China	192.8	91.0	112.0%	11.1%
SAIC Motor Passer	94.2	33.9	178.2%	5.4%
Leapmotor	75.3	17.3	335.5%	4.3%
Dongfeng Motor	56.0	22.2	152.2%	3.2%
SAIC GM Wuling	48.2	27.3	76.6%	2.8%
Changan Auto	38.2	17.1	123.8%	2.2%
XPENG	24.1	14.9	61.3%	1.4%

Source: CPCA, Nomura research

Apart from the fast-growing exports data, China OEMs are making solid progress in select regions and countries. According to ACEA's (European Automobile Manufacturers' Association) Apr-26 new car registration data from EU+EFTA (European Free Trade Association) +UK (Fig. 18), we see Geely, SAIC, BYD, Chery and Leapmotor all showing their presence in the market already, but still at an early stage as none of them is showing a market share of over 3%.

Fig. 18: New car registrations in Apr-26 in EU+EFTA+UK

Unit k	Apr-26	Apr-25	y-y	Market share
Volkswagen Group	308.3	297.8	3.5%	26.8%
Stellantis	176.9	165.8	6.7%	15.3%
Renault Group	106.5	110.4	-3.6%	9.2%
Hyundai Group	88.6	89.8	-1.3%	7.7%
BMW Group	82.6	80.7	2.4%	7.2%
Toyota Group	75.4	76.1	-0.8%	6.5%
Mercedes-Benz	56.5	52.9	7.0%	4.9%
Geely Group	36.4	33.4	9.1%	3.2%
Ford	31.6	36.4	-13.2%	2.7%
SAIC Motor	29.3	21.7	35.3%	2.5%
Nissan	17.7	19.6	-9.8%	1.5%
BYD	27.0	12.6	114.5%	2.3%
Chery Automobile	24.4	5.8	322.3%	2.1%
Tesla	10.7	7.3	46.5%	0.9%
Suzuki	13.3	14.6	-9.1%	1.2%
Mazda	12.5	10.3	20.9%	1.1%
Jaguar Land Rover Group	9.1	9.8	-7.3%	0.8%
Leapmotor	8.7	1.7	403.7%	0.8%
Honda	6.0	5.2	15.8%	0.5%
Mitsubishi	2.2	4.7	-53.2%	0.2%

Note: Geely includes Geely, Geely-Emgrand, LEVC, Lotus, Lynk & Co, Polestar, Smart, Volvo Cars, and Zeekr

Chery includes Chery, Jaecoo, Jetour, and Omoda

Source: ACEA, Nomura research

Meanwhile, in Brazil and Australia also we see a similar trend (*Fig. 19 & Fig. 20*). BYD is showing a clear advantage in both the markets, by reaching No.4 position in Brazil and No.2 position in Australia in May-26 (as per local auto association data), with its shipment already reaching 44%/50% of the leaders in each market. At the same time, other China brands such as Great Wall Motor, Chery and Geely are also showing solid business progress in such markets.

We believe the strong overseas expansion so far in 2026 is helping to more or less offset demand challenges that the China auto industry is facing in the domestic market. Nevertheless, with the strong overseas growth from end-25, we believe two things need to be taken into account while looking at the long-term outlook of China auto players. First is the addressable market. As the market situation varies in each country/region (e.g., US market is generally unavailable for China players), OEMs will try to enter those markets with generally less entry barriers. With the faster development in some of these countries (like BYD in Brazil/Australia), we believe sector players will always have to put additional efforts in opening new markets, which could result in uncertainties for further growth.

Meanwhile, growing fast in some of the key auto markets may trigger uncertainties such as trade tensions. According to a Bloomberg news report ([URL](#)), the EU-China trade relationship is facing further pressure due to surging trade deficit, according to EU, which has more or less included the auto sector, in our view. And with the fast development globally, we see increasing auto-related tariffs in many countries such as Russia, Brazil and Mexico. Hence, faster exports growth in the short-term could also create further challenges for the industry into the mid/long run, in our view.

Taking all the above into consideration, we continue to believe that China EV players would enjoy strong growth in overseas markets, at least within 2026F. With EVs' growing social acceptance and expanding EV infrastructure, we see an accelerating trend toward electrification in overseas markets. Meanwhile, OEMs need to be well-prepared for any potential new challenges in overseas markets, and becoming a true global player might not be that easy as what we have observed in the past few months.

Fig. 19: Sales ranking for May-26 in the Brazil market

Unit k	Ranking	May-26	Market share
FIAT	1	49.6	18.9%
VW	2	43.0	16.3%
GM	3	27.8	10.6%
BYD	4	21.7	8.2%
Hyundai	5	20.2	7.7%
Toyota	6	14.8	5.6%
Renault	7	11.1	4.2%
Jeep	8	10.4	4.0%
Honda	9	10.3	3.9%
GWM	10	7.4	2.8%
Chery	12	6.7	2.5%
Geely	14	5.2	2.0%

Source: CAR.BLOG.BR, Nomura research

Fig. 20: Australia May-26 sales ranking

Unit k	May-26	Market share	YTD y-y
Toyota	16.3	15.2%	-24.6%
BYD	8.2	7.7%	120.1%
Ford	7.2	6.7%	-11.0%
Hyundai	7.0	6.6%	5.1%
Kia	6.8	6.3%	2.7%
Tesla	6.4	6.0%	56.1%
Mazda	5.7	5.3%	16.0%
GWM	4.7	4.4%	23.0%
Chery	4.4	4.1%	84.3%
MG	3.9	3.6%	2.1%

Source: FCAI, Nomura research

Appendix A-1

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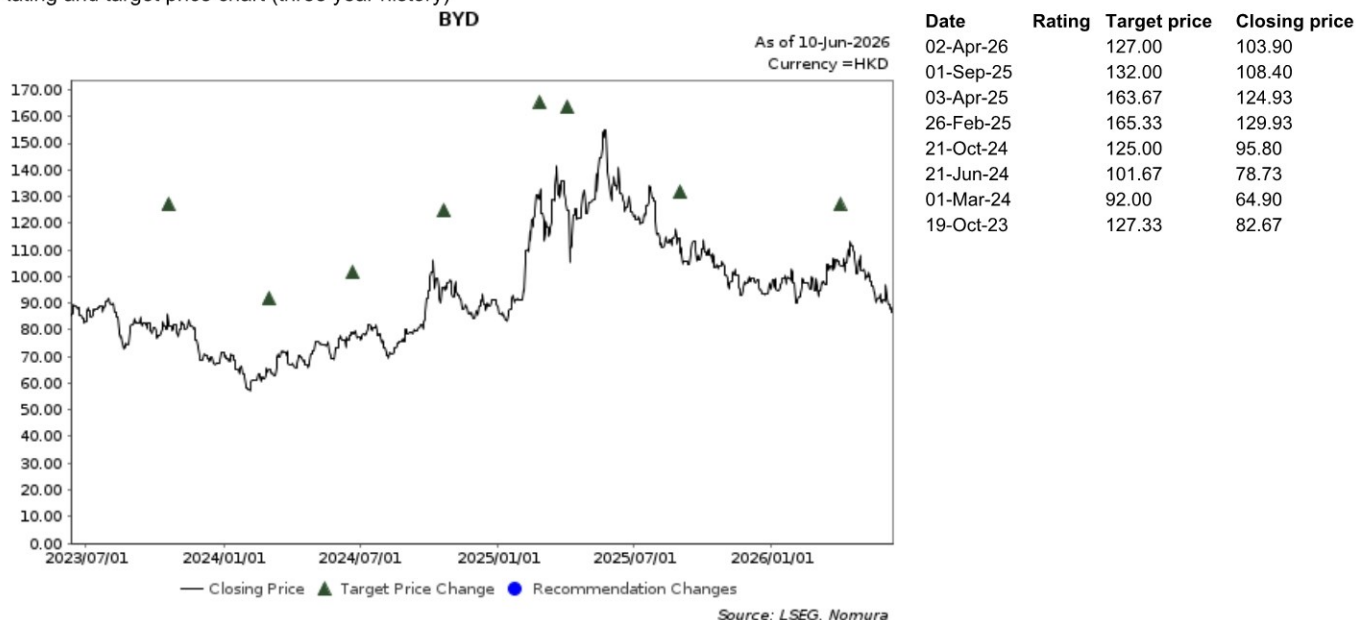
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
BYD	1211 HK	HKD 86.60	10-Jun-2026	Buy	N/A	A10
NIO Inc	NIO US	USD 5.28	09-Jun-2026	Buy	N/A	
XPENG Inc.	XPEV US	USD 15.48	09-Jun-2026	Buy	N/A	A10

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BYD (1211 HK)

HKD 86.60 (10-Jun-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of HKD127.00 is based on SOTP valuation method. We value BYD's auto and related products segment at CNY959bn based on 25x FY26F P/E multiple (12% discount comparing with BYD's historical median level while also based on 1x PEG during FY25-28F) while value BYD Electronics at CNY57.2bn based on 17x FY26E (based on Bloomberg consensus estimates) P/E multiple (0.5SDV above its historical median level). Our benchmark for the stock is HSI Index.

Risks that may impede the achievement of the target price Downside risks include: (1) further intensifying market competition dynamics which may have negative impact to its margins and/or market share; (2) slower-than-expected overseas business expansion; (3) less-than-expected positive effect on demand from further upgrade of its technology platform.

NIO Inc (NIO US)**USD 5.28 (09-Jun-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
22-Apr-26		8.60	6.48
11-Mar-26	Buy		5.47
11-Mar-26		6.60	5.47
22-Sep-25		8.40	6.91
23-Mar-25		5.00	4.50

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of USD8.60 is based on DCF valuation method. Our DCF valuation assumes a WACC of 9.8%, market risk premium of 10.1% and terminal growth rate of 1.5% while we discounted back cash flow to 2026 as a 12 months forward valuation. Our TP implies 1.1x 2026F P/S. The benchmark index for this stock is the NASDAQ Composite Index.

Risks that may impede the achievement of the target price Downside risks include: 1) failure to ramp up production capacity meeting its rising demand; 2) fail to gain further market share from new models; 3) less than expected opex improvement lead to more pressure on its financials.

XPENG Inc. (XPEV US)**USD 15.48 (09-Jun-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
22-Mar-26		23.00	17.55
19-Mar-25	Buy		23.80
19-Mar-25		30.00	23.80
19-Aug-23		14.00	14.98

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of USD23.00 is based on DCF valuation method. Our DCF valuation assumes a WACC of 9.9%, market risk premium of 10.9% and terminal growth rate of 1.5% while we discounted back cash flow to 2026 as a 12 months forward valuation. Our TP implies 1.6x 2026F P/S. The benchmark index for this stock is the NASDAQ Composite Index.

Risks that may impede the achievement of the target price Downside risks include: 1) weaker-than-expected growth for its new models to be launched within 2026; 2) further competition intensified in China auto market; 3) slower-than-expected development in robotaxi and humanoid robots.

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As at 31 March 2026.

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